

SASINI LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 SEPTEMBER 2013

	Note	2013 KShs'000	2012 KShs'000
Revenue	8	2,816,834	2,820,737
Cost of sales	9	(2,043,694)	(1,910,377)
Gross profit		773,140	910,360
Losses arising from changes in fair value of biological assets less costs to sell	20(a)	(31,518)	(420,986)
Other income	10	<u>119,728</u>	<u>89,114</u>
Total operating income		861,350	578,488
Administration and establishment expenses	11	(692,873)	(650,886)
Selling and distribution costs	12	(23,747)	(23,004)
Results from operating activities		<u>144,730</u>	<u>(95,402)</u>
Finance income	13(a)	20,308	37,357
Finance costs	13(b)	(6,631)	(27,180)
Net finance income	13	<u>13,677</u>	<u>10,177</u>
Profit/(loss) before tax	14	158,407	(85,225)
Tax expense	15(a)	(66,718)	(38,888)
Profit/(loss) for the year		91,689	(124,113)
Other comprehensive income			
Items that will never be reclassified to profit or loss			
Reversal of revaluation gain net of tax		(38,074)	-
Total comprehensive income/(loss)		<u>53,615</u>	<u>(124,113)</u>
Profit/(loss) attributable to:			
Owners of the company		122,704	(67,793)
Non-controlling interest		(31,015)	(56,320)
		<u>91,689</u>	<u>124,113</u>
Total comprehensive income /(loss) attributable to:			
Owners of the company		84,630	(67,793)
Non-controlling interest		(31,015)	(56,320)
		<u>53,615</u>	<u>(124,113)</u>
Profit / (loss) attributable to the owners of company is made up as follows:			
Profit arising from operating activities		126,832	186,857
Losses arising from changes in fair value of biological assets after tax		(4,128)	(254,650)
		<u>122,704</u>	<u>(67,793)</u>
Earnings/(loss) per share:			
Basic and diluted (KShs)	16	<u>0.54</u>	<u>(0.30)</u>
Dividend per share (KShs)	17	<u>0.25</u>	<u>0.75</u>

The notes set out on pages 23 to 73 form an integral part of the financial statements.

SASINI LIMITED AND SUBSIDIARIES

COMPANY STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 SEPTEMBER 2013

	Note	2013 KShs'000	2012 KShs'000
Revenue	8	478,897	859,636
Cost of sales	9	(370,756)	(597,846)
Gross profit		108,141	261,790
Gains/(losses) arising from changes in fair value of biological assets less costs to sell	20(b)	96,017	(357,029)
Other income	10	<u>183,271</u>	<u>326,773</u>
Total operating income		387,429	231,534
Administration and establishment expenses	11	(287,102)	(288,918)
Results from operating activities		<u>100,327</u>	<u>(57,384)</u>
Finance income	13(a)	18,757	34,856
Finance costs	13(b)	(5,330)	(7,814)
Net finance income	13	<u>13,427</u>	<u>27,042</u>
Profit/(loss) before tax	14	113,754	(30,342)
Tax (expense)/ credit	15(a)	(39,792)	<u>31,193</u>
Profit for the year		73,962	851
Other comprehensive income			
Items that will never be reclassified to profit or loss			
Reversal of revaluation gain-net of tax		(36,856)	-
Total comprehensive income		<u>37,106</u>	<u>851</u>
Profit is made up as follows:			
Profit arising from operating activities		6,750	250,772
Gains/(losses) arising from changes in fair value of biological assets after tax		<u>67,212</u>	<u>(249,921)</u>
		<u>73,962</u>	<u>851</u>
Earnings per share:			
Basic and diluted (KShs)	16	<u><u>0.32</u></u>	<u><u>0.004</u></u>
Dividend per share (KShs)	17	<u><u>0.25</u></u>	<u><u>0.75</u></u>

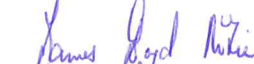
The notes set out on pages 23 to 73 form an integral part of the financial statements.

SASINI LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2013

ASSETS	Note	2013 KShs'000	2012 KShs'000
Non-current assets			
Property, plant and equipment	18(a)	2,343,387	2,411,972
Capital work-in-progress	18(c)	39,934	37,877
Intangible assets	19	11,686	19,887
Biological assets	20(a)	5,290,774	5,322,292
Prepaid leases on leasehold land	21	20,316	20,556
Available-for-sale financial asset	22	525	525
Deferred tax asset	30	<u>52,699</u>	<u>-</u>
		<u>7,759,321</u>	<u>7,813,109</u>
Current assets			
Inventories	24	370,264	430,589
Trade and other receivables	25	518,334	409,383
Amounts due from related companies	26	1,092	1,418
Tax recoverable	15(b)	129,991	-
Cash and cash equivalents	27	<u>275,364</u>	<u>268,481</u>
		<u>1,295,045</u>	<u>1,109,871</u>
TOTAL ASSETS		<u>9,054,366</u>	<u>8,922,980</u>
EQUITY AND LIABILITIES			
Capital and reserves (Pages 17 & 18)			
Share capital	28	228,055	228,055
Non-distributable reserves	29	4,745,816	4,825,793
Distributable reserves	29	<u>1,309,162</u>	<u>1,239,823</u>
		6,283,033	6,293,671
Non-controlling interest	29	<u>99,878</u>	<u>133,131</u>
Total equity		<u>6,382,911</u>	<u>6,426,802</u>
Non-current liabilities			
Deferred tax liability	30	1,678,365	1,673,591
Post employment benefits	32	<u>261,841</u>	<u>236,959</u>
		<u>1,940,206</u>	<u>1,910,550</u>
Current liabilities			
Bank loans	31	175,491	55,703
Post employment benefits	32	19,070	10,246
Trade and other payables	33	536,688	460,177
Tax payable	15(b)	<u>-</u>	<u>59,502</u>
		<u>731,249</u>	<u>585,628</u>
TOTAL EQUITY AND LIABILITIES		<u>9,054,366</u>	<u>8,922,980</u>

The financial statements set out on pages 13 to 73 were approved by the Board of Directors on 10 December 2013 and signed on its behalf by:


Dr. J.B. McFie
Chairman


M.J. Ernest
Director

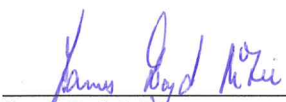
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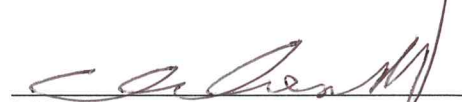
SASINI LIMITED AND SUBSIDIARIES

COMPANY STATEMENT OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2013

ASSETS	Note	2013 KShs'000	2012 KShs'000
Non-current assets			
Property, plant and equipment	18(b)	1,430,257	1,522,059
Intangible assets	19	3,565	7,109
Biological assets	20(b)	1,563,222	1,467,205
Prepaid leases on leasehold land	21	7,886	8,016
Investment in subsidiary companies	23	<u>172,697</u>	<u>172,697</u>
		<u>3,177,627</u>	<u>3,177,086</u>
Current assets			
Inventories	24	49,120	116,520
Trade and other receivables	25	234,541	183,392
Amounts due from related companies	26	222,697	162,839
Tax recoverable	15(b)	48,873	-
Cash and cash equivalents	27	<u>203,695</u>	<u>65,282</u>
		<u>758,926</u>	<u>528,033</u>
TOTAL ASSETS		<u>3,936,553</u>	<u>3,705,119</u>
EQUITY AND LIABILITIES			
Capital and reserves (Pages 19 & 20)			
Share capital	28	228,055	228,055
Non - distributable reserves	29	2,132,234	2,114,047
Distributable reserves	29	<u>348,353</u>	<u>438,246</u>
Total equity		<u>2,708,642</u>	<u>2,780,348</u>
Non-current liabilities			
Deferred tax liability	30	543,258	529,445
Post employment benefits	32	<u>18,496</u>	<u>17,212</u>
		<u>561,754</u>	<u>546,657</u>
Current liabilities			
Bank Loans		175,491	55,703
Post employment benefits	32	969	1,678
Amounts due to related companies	26	246,631	-
Trade and other payables	33	243,066	291,874
Tax payable	15(b)	<u>-</u>	<u>28,859</u>
		<u>666,157</u>	<u>378,114</u>
TOTAL EQUITY AND LIABILITIES		<u>3,936,553</u>	<u>3,705,119</u>

The financial statements set out on pages 13 to 73 were approved by the Board of Directors on 10 December 2013 and signed on its behalf by:


 Dr. J.B. McFie
 Chairman


 M.J. Ernest
 Director

The notes set out on pages 23 to 73 form an integral part of the financial statements.

SASINI LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 30 SEPTEMBER 2013

2013:	Share capital KShs'000	Capital reserve KShs'000	Revaluation reserve KShs'000	Biological assets fair value reserve KShs'000	Retained earnings KShs'000	Proposed dividends KShs'000	Total equity attributable to owners KShs'000	Non controlling interest KShs'000	Total equity KShs'000
At 1 October 2012	228,055	98,530	1,891,423	2,835,840	1,182,809	57,014	6,293,671	133,131	6,426,802
Total comprehensive income									
Profit/(loss) for the year	-	-	-	-	122,704	-	122,704	(31,015)	91,689
Reversal of revaluation gain (Note 18(a))	-	-	(54,392)	-	-	-	(54,392)	-	(54,392)
Deferred tax on revaluation reversed	-	-	16,318	-	-	-	16,318	-	16,318
Appropriation of losses on biological assets	-	-	-	(4,128)	4,128	-	-	-	-
Excess depreciation on revaluation	-	-	(53,964)	-	53,964	-	-	-	-
Deferred tax on revaluation	-	-	16,189	-	-	-	16,189	333	16,522
Total comprehensive income for the year	-	-	(75,849)	(4,128)	180,796	-	100,819	(30,682)	70,137
Transactions with owners of the company recorded directly in equity									
Reclassification from non-controlling interest	-	-	-	-	2,571	-	2,571	(2,571)	-
Final 2012 dividend paid	-	-	-	-	-	(57,014)	(57,014)	-	(57,014)
Interim 2013 dividend paid	-	-	-	-	(57,014)	-	(57,014)	-	(57,014)
Proposed final 2013 dividend	-	-	-	-	-	-	-	-	-
Total distribution to owners of the company	-	-	-	-	(54,443)	(57,014)	(111,457)	(2,571)	(114,028)
At 30 September 2013	228,055	98,530	1,815,574	2,831,712	1,309,162	-	6,283,033	99,878	6,382,911

The notes set out on pages 23 to 73 form an integral part of the financial statements.

SASINI LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY **FOR THE YEAR ENDED 30 SEPTEMBER 2013 (CONTINUED)**

	Share capital KShs'000	Capital reserve KShs'000	Revaluation reserve KShs'000	Biological assets fair value reserve KShs'000	Retained earnings KShs'000	Proposed Dividends KShs'000	Total equity attributable to owners KShs'000	Non controlling interest KShs'000	Total equity KShs'000
2012:									
At 1 October 2011	228,055	98,530	1,930,953	3,090,490	1,110,998	114,028	6,573,054	189,118	6,762,172
Total comprehensive income for the year									
Loss for the year	-	-	-	-	(67,793)	-	(67,793)	(56,320)	(124,113)
Appropriation of fair value losses on biological assets	-	-	-	(254,650)	254,650	-	-	-	-
Excess depreciation on revaluation	-	-	(55,996)	-	55,996	-	-	-	-
Deferred tax on revaluation	-	-	16,466	-	-	-	16,466	333	16,799
Total comprehensive loss for the year	-	-	(39,530)	(254,650)	242,853	-	(51,327)	(55,987)	(107,314)
Transactions with owners of the company recorded directly in equity									
Final 2011 dividend paid	-	-	-	-	-	(114,028)	(114,028)	-	(114,028)
Interim 2012 dividend paid	-	-	-	-	(114,028)	-	(114,028)	-	(114,028)
Proposed final 2012 dividend	-	-	-	-	(57,014)	57,014	-	-	-
Total distribution to owners of the company	-	-	-	-	(171,042)	(57,014)	(228,056)	-	(228,056)
At 30 September 2012	228,055	98,530	1,891,423	2,835,840	1,182,809	57,014	6,293,671	133,131	6,426,802

The notes set out on pages 23 to 73 form an integral part of the financial statements.

SASINI LIMITED AND SUBSIDIARIES

COMPANY STATEMENT OF CHANGES IN EQUITY **FOR THE YEAR ENDED 30 SEPTEMBER 2013**

	Share capital KShs'000	Capital reserve KShs'000	Revaluation reserve KShs'000	Biological assets fair value reserve KShs'000	Retained earnings KShs'000	Proposed dividends KShs'000	Total equity KShs'000
2013:							
At 1 October 2012	228,055	40,594	1,158,925	914,528	381,232	57,014	2,780,348
Total comprehensive income for the year							
Profit for the year	-	-	-	-	73,962	-	73,962
Reversal of revaluation gain (Note 18(b))	-	-	(52,651)	-	-	-	(52,651)
Deferred tax on revaluation reversed	-	-	15,795	-	-	-	15,795
Appropriation of fair value losses on biological assets	-	-	-	67,213	(67,213)	-	-
Excess depreciation on revaluation	-	-	(17,386)	-	17,386	-	-
Deferred tax on revaluation	-	-	5,216	-	-	-	5,216
Total comprehensive income for the year	-	-	(49,026)	67,213	24,135	-	42,322
Transactions with owners of the company recorded directly in equity							
Final 2012 dividend paid	-	-	-	-	-	(57,014)	(57,014)
Interim 2013 dividend paid	-	-	-	-	(57,014)	-	(57,014)
Proposed final 2013 dividend	-	-	-	-	-	-	-
Total distribution to owners of the company	-	-	-	-	(57,014)	(57,014)	(114,028)
At 30 September 2013	228,055	40,594	1,109,899	981,741	348,353	-	2,708,642

The notes set out on pages 23 to 73 form an integral part of the financial statements.

SASINI LIMITED AND SUBSIDIARIES

COMPANY STATEMENT OF CHANGES IN EQUITY **FOR THE YEAR ENDED 30 SEPTEMBER 2013 (CONTINUED)**

	Share capital KShs'000	Capital reserve KShs'000	Revaluation reserve KShs'000	Biological assets fair value reserve KShs'000	Retained earnings KShs'000	Proposed dividends KShs'000	Total equity KShs'000
2012:							
At 1 October 2011	228,055	40,594	1,169,396	1,164,449	286,544	114,028	3,003,066
Total comprehensive income for the year							
Profit for the year	-	-	-	-	851	-	851
Appropriation of fair value losses on biological assets	-	-	-	(249,921)	249,921	-	-
Excess depreciation on revaluation	-	-	(14,958)	-	14,958	-	-
Deferred tax on revaluation	-	-	4,487	-	-	-	4,487
Total comprehensive income for the year	-	-	(10,471)	(249,921)	265,730	-	5,338
Transactions with owners of the company recorded directly in equity							
Final 2011 dividend paid	-	-	-	-	-	(114,028)	(114,028)
Interim 2012 dividend paid	-	-	-	-	(114,028)	-	(114,028)
Proposed final 2012 dividend	-	-	-	-	(57,014)	57,014	-
Total distribution to owners of the company	-	-	-	-	(171,042)	(57,014)	(228,056)
At 30 September 2012	228,055	40,594	1,158,925	914,528	381,232	57,014	2,780,348

The notes set out on pages 23 to 73 form an integral part of the financial statements.

SASINI LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 30 SEPTEMBER 2013

		2013	2012
	Note	KShs'000	KShs'000
Cash flows from operating activities			
Cash flows generated from operations	34	459,957	445,567
Income taxes paid	15(b)	(271,296)	(115,909)
Net cash generated from operating activities		<u>188,661</u>	<u>329,658</u>
Cash flows from investing activities			
Purchase of property, plant and equipment	18(a)	(211,243)	(180,818)
Purchase of intangible assets	19	(1,210)	(761)
Capital work-in-progress		(2,057)	(16,232)
Interest income	13	1,639	28,973
Proceeds on sale of property, plant and equipment		<u>22,307</u>	<u>6,610</u>
Net cash used in investing activities		<u>(190,564)</u>	<u>(162,228)</u>
Cash flows from financing activities			
Interest paid	13	(4,651)	(7,814)
Proceeds from bank loan		175,491	-
Loan repayments		(55,703)	(132,816)
Dividends paid on ordinary shares		<u>(114,028)</u>	<u>(228,056)</u>
Net cash from/(used in) financing activities		<u>1,109</u>	<u>(368,686)</u>
Net decrease in cash and cash equivalents		<u>(794)</u>	<u>(201,256)</u>
Cash and cash equivalents at the beginning of the year		268,481	489,103
Net unrealised foreign exchange gain/(loss)		<u>7,677</u>	<u>(19,366)</u>
Cash and cash equivalents at the end of the year	27	<u>275,364</u>	<u>268,481</u>

The notes set out on pages 23 to 73 form an integral part of the financial statements.

SASINI LIMITED AND SUBSIDIARIES
COMPANY STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 SEPTEMBER 2013

		2013	2012
	Note	KShs'000	KShs'000
Cash flows from operating activities			
Cash flows generated from/(used in) operations	34	219,812	(22,663)
Income taxes paid	15(b)	(82,700)	(5,783)
Net cash generated from/(used in) operating activities		<u>137,112</u>	<u>(28,446)</u>
Cash flows from investing activities			
Purchase of property, plant and equipment	18(b)	(26,581)	(20,707)
Interest income	13	7	23,318
Purchase of intangible assets	19	(148)	(579)
Proceeds on sale of property, plant and equipment		<u>19,123</u>	<u>3,727</u>
Net cash (used in)/from investing activities		<u>(7,599)</u>	<u>5,759</u>
Cash flows from financing activities			
Interest paid	13	(4,618)	(7,814)
Proceeds from bank loan		175,491	-
Loan repayments		(55,703)	(132,816)
Dividend received from subsidiary		-	230,000
Dividend paid on ordinary shares		(114,028)	(228,056)
Net cash from/(used in) financing activities		<u>1,142</u>	<u>(138,686)</u>
Net increase/(decrease) in cash and cash equivalents		130,665	(161,373)
Cash and cash equivalents at the beginning of the year		65,282	224,765
Net unrealised foreign exchange gain		<u>7,758</u>	<u>1,890</u>
Cash and cash equivalents at the end of the year	27	<u>203,695</u>	<u>65,282</u>

The notes set out on pages 23 to 73 form an integral part of the financial statements.